

PRINCIPLES OF MANAGEMENT

HENRY FAYOL

- **Henri Fayol was an industrialist of the early twentieth century. He developed fourteen principles of management that are still taught today.**
- **The principles are the universal truths of management that can be taught.**

PRINCIPLES OF MANAGEMENT

1. DIVISION OF WORK.

- **This principle is the same as Adam Smith's 'division of labour'.**
- **Specialisation increases output by making employees more efficient.**

2. DELEGATION OF AUTHORITY

- **Managers must be able to give orders. Authority gives them this right. Note that responsibility arises wherever authority is exercised.**

3. DISCIPLINE.

- **Employees must obey and respect the rules that govern the organisation.**
- **Good discipline is the result of effective leadership, a clear understanding between management and workers regarding the organisation's rules, and the judicious use of penalties for infractions of the rules.**

4. UNITY OF COMMAND.

- **Every employee should receive orders from only one superior.**

5. UNITY OF DIRECTION.

- **Each group of organisational activities that have the same objective should be directed by one manager using one plan.**

6. SUBORDINATION OF INDIVIDUAL INTERESTS TO THE GENERAL INTEREST.

- **The interests of any one employee or group of employees should not take precedence over the interests of the organisation as a whole.**

7. REMUNERATION.

- **Workers must be paid a fair wage for their services.**

8.CENTRALISATION.

- **Centralisation refers to the degree to which subordinates are involved in decision making. Whether decision making is centralised (to management) or decentralised (to subordinates) is a question of proper proportion. The task is to find the optimum degree of centralisation for each situation.**

9. SCALAR CHAIN.

- **The line of authority from top management to the lowest ranks represents the scalar chain. Communications should follow this chain.**
- **However, if following the chain creates delays, cross-communications can be allowed if agreed to by all parties and superiors are kept informed.**

10. ORDER.

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- **People and materials should be in the right place at the right time.**

11. EQUITY.

Managers should be kind and fair to their subordinates.

12. STABILITY OF TENURE OF PERSONNEL.

- **High employee turnover is inefficient. Management should provide orderly personnel planning and ensure that replacements are available to fill vacancies.**

13. INITIATIVE.

- **Employees who are allowed to originate and carry out plans will exert high levels of effort.**

14. *Esprit de corps.*

- **Promoting team spirit will build harmony and unity within the organisation.**

THANK YOU